IN THE UNITED STATES BANKRUPTCY COURT
FOR THE EASTERN DISTRICT OF TENNESSEE
NORTHERN DIVISION

In re	)	
	)	
ECHO MAV, LLC,	)	Case No. 3:25-bk-31122-SHB
	)	
Alleged Debtor.	)	Chapter 7 (Involuntary)
	)	
	)	Judge Bauknight

MEMORANDUM IN SUPPORT OF MOTION TO DISMISS INVOLUNTARY BANKRUPTCY PROCEEDING

Echo MAV, LLC, the alleged Debtor ("Echo MAV") files this Memorandum in Support of its Motion to Dismiss the Involuntary Bankruptcy Proceeding filed against it by Horizon31, LLC ("Horizon31").

I. INTRODUCTION

The involuntary bankruptcy process may be not abused by "a single recalcitrant creditor who is more concerned with a collection action than with the alleged debtor's well-being as a going concern." In re Metrogate, LLC, 2016 WL 3150177, at *13 (Bankr. D. Del. 2016). That is precisely what is going on in this case. The lone petitioning creditor, Horizon31, is controlled by Brad Stinson ("Stinson"), Echo MAV's former chief technology officer, who recently left Echo MAV to start a competing unmanned aerial vehicle business. On the way out the door, Stinson disabled Echo MAV's access to critical accounts, improperly solicited its customers, deleted files and lied to its employees, leading at least four of them to quit. Then, mere days after it began pursuing its state-court remedies, Horizon31 filed this involuntary petition as yet another improper means of pressuring Echo MAV.

Horizon31's inappropriate bankruptcy filing must be rejected, for several reasons. It filed this petition in the wrong bankruptcy court. It filed with an insufficient number of qualifying petitioning creditors. Horizon31 itself is not a qualifying creditor because its debt is fully secured. Most importantly, it filed this petition in bad faith as a way to threaten Echo MAV with

liquidation in order to draw the focus away from Stinson's mendacious, inexcusable conduct. This Court should not countenance Horizon31's abuse of the bankruptcy process. It should dismiss this petition and award Echo MAV costs, attorney's fees, and compensatory and punitive damages for this bad faith filing.

II. STATEMENT OF FACTS

Echo MAV was organized as an LLC under New Mexico law in 2022 by Trey Sprinkle ("Sprinkle") and William Knowles ("Knowles"). Declaration of Denny Eugene Trey Sprinkle, III in Supp. of Mot. to Dismiss ("Sprinkle Decl."), ¶ 3. Echo MAV is a technology development company focused on defense-oriented drone innovation and systems integration, including the design, prototyping, and commercialization of specialized hardware and software for military and tactical applications. Id., ¶ 4. Echo MAV builds unmanned aerial vehicles (drones) designed for combat operations. Id. It serves numerous organizations of the United States Government as well as private customers.

Echo MAV is now solely owned by Sprinkle, who lives in Lubbock, Texas. Sprinkle Decl., ¶¶ 2, 5. Echo MAV's principal place of business is, and always has been, in Lubbock. Id., ¶ 6. Its phone number begins with area code 806, the area code for the Lubbock and Amarillo metro areas. Id. Echo MAV's executives, including Sprinkle, its president, and its head of operations are all based in Lubbock. Id. Its payroll is processed from Lubbock and its banking relationships are with a Texas bank. Id. As of June 12, 2025, Echo MAV had 10 employees based in the Lubbock area. Id. Echo MAV's principal assets are located in Lubbock. Id. Echo MAV also has a flight testing center in Colorado Springs, Colorado which had 2 employees as of June 12, 2025, and an office in Knoxville, Tennessee having 4 employees as of June 12, 2025. Id., ¶ 7.

On March 10, 2023, Echo MAV entered into an Asset Purchase Agreement ("APA") with Horizon31 and its members, Stinson and Andrew Harter. Sprinkle Decl., ¶ 8. Within the APA, Echo MAV purchased substantially all business assets of Horizon31. Id. The purchase price for Horizon31's assets at the time of the APA was $2,000,000. Id., ¶ 9. Echo MAV paid Horizon31 $500,000 cash at closing and gave Horizon31 a $1.5 million promissory note (the "Note") which

called for two payments, one on the first anniversary of closing (February 17, 2024) and one on the second anniversary of closing (February 17, 2025). Id., ¶ 9, 11. Knowles also guaranteed repayment of the Note. Id., ¶ 10. Echo MAV made partial payments on the Note in the amount of $80,000 on November 13, 2024 and $100,000 on November 15, 2024. Id., ¶ 12.

Though Echo MAV purchased substantially all of Horizon31's assets, it was primarily interested in acquiring two properties: 1) Horizon31's PixC4 line of circuit boards and related software (the "PixC4 Line"), and 2) Horizon31's fully-assignable patent and copyright license agreements with UT Battelle, LLC (the "UT Battelle Contracts"). Sprinkle Decl., ¶ 13. At the closing of the APA, Echo MAV valued the PixC4 Line at approximately $500,000 based on an industry-standard 10x multiplier of annual net revenue generated by the products. Id., ¶ 14. The UT Battelle Contracts give the holder a license to use over 250 unique software and hardware designs. Id., ¶ 16. Echo MAV estimated, conservatively, that to reproduce those designs would cost a minimum of $1.5 million. Id. Thus the total purchase price for Horizon31's assets was $2 million. Id.

To secure the Note payments, Echo MAV granted Horizon31 "a first priority security interest and lien in the Assets", which are defined as all of Horizon31's "personal property, furniture, fixtures, equipment, tools, vehicles, inventory, patents, trademarks, license agreements, contract rights, customer lists, telephone numbers, accounts receivable, websites, domain names, software and all associated intellectual property rights, and all other tangible and intangible property used in operating the Business, including goodwill" but excluding Horizon31's bank accounts, cash, organizational documents, books and records. Sprinkle Decl., ¶ 17. Echo MAV and Horizon31 signed a separate Security Agreement clarifying that Horizon31's collateral includes the "tangible and intangible personal property acquired by" Echo MAV under the APA. Id., ¶ 18. The Security Agreement does not include any language or reference to Horizon31 or Stinson obtaining a security interest in "after-acquired property," "newly developed intellectual property," "derivative works," or "future revenue streams" of Echo MAV. Id., ¶ 19. Rather, the

collateral description is limited to assets acquired by Echo MAV at the time of the closing of the APA. Id.

Post-closing, Echo MAV rebranded the PixC4 Line from Horizon31 into the EchoPilot AI and EchoPilot Carrier boards. Sprinkle Decl., ¶ 25. It also invested several million dollars of its own capital in research, development and testing to improve the line. Id. In 2025 to date, Echo MAV has sold over 500 EchoPilot AI boards and 500 EchoPilot Carrier boards. Id. At current prices, and based on the same valuation multiplier Echo MAV applied at closing, the value of the PixC4 Line is approximately $3 million today. Id. Echo MAV is finalizing two new multi-million dollar sales contracts for the PixC4 Line which will lead to more sales and an even greater valuation for the technology. Id.

To date, Echo MAV has been unable to monetize its rights under the UT Battelle Contracts, because Horizon31 never delivered to Echo MAV the files for the 250 unique software and hardware designs it represented were available under the UT Battelle Contracts. Sprinkle Decl., ¶ 26. However, Echo MAV believes the value of the UT Battelle Contracts remains at least $1.5 million today, assuming that the 250 design files are available and can be accessed. Id.

Echo MAV has other assets and technology which are completely independent of the assets it purchased from Horizon31. For example, following the sale, Echo MAV independently developed and launched a new generation of drone products, including the Monark Drone platform, using proprietary systems and personnel who were not employed by Horizon31. Sprinkle Decl., ¶ 27. These developments were funded solely by Echo MAV, without contribution or involvement from Stinson or Horizon31. Id.

After the closing of the APA, Echo MAV hired Stinson to serve as its Chief Technology Officer ("CTO"). Sprinkle Decl., ¶ 20. He worked out of Echo MAV's Knoxville office. Id. Stinson brought with him Horizon31's existing GitHub and CircuitHub accounts, which were in his individual name and for which he controlled the login and password information. Id. Echo MAV stores software code which is proprietary and critical to the development of its products on GitHub. Id., ¶ 21. CircuitHub is a company which quickly manufactures custom-designed circuit

boards. Id., ¶ 22. Echo MAV uses CircuitHub to generate circuit boards for prototyping and testing new applications. Id. After the closing, Stinson never switched Horizon31's GitHub and CircuitHub accounts into Echo MAV's name. Id., ¶ 23. He kept the accounts in his individual name and maintained control over the logins and passwords for the accounts. Id.

As CTO, Stinson also had access to all of Echo MAV's other critical accounts and systems. Sprinkle Decl., ¶ 24. He had access to a company American Express card with no spending limit. Id. He also had access to Echo MAV's Quickbooks and WooCommerce accounts. Id. Among other things, his Quickbooks access would have allowed him to view all of Echo MAV's accounts payable and determine how many creditors Echo MAV had. Id.

In September 2024, Stinson set up a Tennessee limited liability company called BS Solutions and used it to lease a 27-year-old Toyota Land Cruiser with 190,000 miles to Echo MAV. Sprinkle Decl., ¶¶ 32-33, 50. The Land Cruiser was worth approximately $8,800 at the time of the lease, however, the lease calls for 12 monthly payments of $750.00, or $9,000. Id., ¶¶ 33-34. Ostensibly, the purpose of the lease was to allow EchoMav employees to drive the Land Cruiser. Id., ¶ 35. In reality, Echo MAV rarely used the vehicle because Stinson's children had it most of the lease term. Id. Nor was the vehicle even registered to BS Solutions – instead, it was registered to Stinson individually. Id., ¶ 36. Stinson notified Echo MAV he was terminating the lease on May 31, 2025. Id.

On April 18, 2025, Echo MAV and Stinson entered into a Confidential Information Non-Disclosure and Turnover Agreement with Employee/Agent ("NDA"). Sprinkle Decl., ¶ 37. Stinson agreed not to remove, disclose or misappropriate any of Echo MAV's confidential information or trade secrets without its consent, or solicit any of EchoMAV's suppliers or purchasers for two years after his employment ended. Id., ¶ 38.

Echo MAV did not make the entire February 2024 or February 2025 Note payments timely, because Knowles failed to source capital to make the payments. Sprinkle Decl., ¶ 28. However, it did pay $180,000 toward the Note in November 2024 as cash was available. Id. On March 21, 2025, Horizon31 sued Echo MAV and Knowles in the Circuit Court for Knox County,

Tennessee, Case No. 3-62-25 (the "Knox County Lawsuit"), to collect on the Note. Id., ¶ 29. To resolve the Knox County Lawsuit, Echo MAV and Knowles gave Horizon31 an Agreed Judgment in the amount of $1,452,385.22, plus $4,600 in attorney's fees, to be held and not filed before May 21, 2025. Id., ¶ 30.

After giving Horizon31 the Agreed Judgment, Echo MAV began working diligently to obtain capital to pay the debt, and negotiating with Stinson for a plan to repay it. Sprinkle Decl., ¶¶ 31, 40. Echo MAV and Stinson were in regular communication until May 20, when Stinson cut off negotiations and resigned as Echo MAV's CTO. Id., ¶ 41. After that, he entered Echo MAV's office premises without notice or permission and proceeded to restrict Echo MAV's access to its core internal systems, including disabling access to Slack communications, GitHub code repositories, and cloud-based vendor accounts used in the development and operation of Echo MAV's product lines. Id., ¶ 42. He deleted or disabled administrative user accounts tied to key engineering tools and refused to return credentials necessary for manufacturing relationships with CircuitHub and other suppliers. Id. He told Echo MAV's employees he was going to resign until Horizon31 was paid and would serve cease and desist orders upon Echo MAV and each employee. Id. Stinson contacted military procurement officials affiliated with Fifth Special Forces Group, CMI2, Darley Defense and Persistent Systems, entities with which Echo MAV had active proposals or relationships. Id., ¶ 43. Specifically, he called Rob Leach of CMI2 and Chris Knapp of Persistent Systems and gave both the impression that Echo MAV would not exist any longer. Id. He contacted a representative of Darley Defense and tried convince Darley to divert to Horizon31 a payment which was owed to Echo MAV. Id.

Stinson also deleted Echo MAV's internal files and records critical to the Monark Drone development program, which was developed completely independently of Horizon31 and Stinson. Sprinkle Decl., ¶¶ 27, 44. He disabled certain core cloud repositories, deleted user access credentials, and restricted access to manufacturing files, design data, and vendor platforms. Id. This resulted in the temporary shutdown of Echo MAV's prototyping pipeline and required substantial resources to partially recover. Id. Echo MAV is still investigating the full

extent of the data loss. Id. Stinson directed an Echo MAV employee to prevent Sprinkle and Echo MAV's web developers from accessing Echo MAV's website. Id., ¶ 45. He also erased hard drives on four Echo MAV computers, copied eight Echo MAV thumb drives and deleted multiple Echo MAV files. Id.

After learning of Stinson's wrongful, vindictive conduct and breaches of his NDA, Echo MAV did not make payment under the Agreed Judgment on May 21, 2025. Sprinkle Decl., ¶ 46. That day, Horizon filed the Agreed Judgment. Id. Then Stinson again returned to Echo MAV's Knoxville office without authorization and told multiple Echo MAV engineers to stop working because all of Echo MAV's property now belonged to him. Id., ¶ 47. This statement is inaccurate because Echo MAV granted Horizon31 a security interest only in the assets it purchased from Horizon31, and Echo MAV has a large amount of valuable property which it obtained and developed independently of Horizon31. Id., ¶ 47. Stinson's inaccurate statements caused confusion and apprehension among Echo MAV's employees and led directly to the resignation of at least four engineers. Id.

On May 23, 2025, an attorney representing Horizon31 sent Echo MAV's attorney a letter notifying Echo MAV that Horizon31 had filed the Agreed Judgment and demanding that Echo MAV surrender to Horizon31 all collateral under the Security Agreement within two business days. Sprinkle Decl., ¶ 48. On May 28, 2025, an attorney representing Horizon31 served post-judgment interrogatories and requests for production of documents on Echo MAV in the Knox County Lawsuit. Id., ¶ 49.

On May 27, 2025 (six days after Stinson came to Echo MAV's Knoxville office and declared that all of Echo MAV's property was now his) Articles of Amendment were filed for his company, BS Solutions LLC, to change its name to "Drones from Scratch LLC." Sprinkle Decl., ¶ 51. Stinson then created a website called https://dronesfromscratch.com which advertises the creation of complex unmanned systems and software solutions which are extremely similar to the products Echo MAV offers. Id., ¶ 53.

On June 12, 2025 (the "Petition Date"), Horizon31 filed the involuntary petition in this case against Echo MAV as the only petitioning creditor. As of June 12, 2025, Echo MAV had 27 unsecured creditors. Sprinkle Decl., ¶ 56. Except for the debts to Horizon31 and BS Solutions n/k/a Drones From Scratch, LLC, Echo MAV is paying its debts as they come due. Id., ¶ 57.

III. LEGAL STANDARD

The party challenging venue bears the burden of establishing by a preponderance of the evidence that the case was improperly venued. In re Bavelis, 453 B.R. 832, 867 (Bankr. S.D. Ohio 2011).

In an involuntary bankruptcy case, the petitioning creditor(s) have the burden to establish that they are qualified, i.e., that they hold a claim against the alleged debtor that is neither contingent as to liability nor subject to a bona fide dispute as to liability or amount. Riverview Trenton Rail. Co. v. DSC, Ltd. (In re DSC, Ltd.), 486 F.3d 940, 944-45 (6th Cir. 2007). Congress made clear that it intended to disqualify a creditor whenever there is any legitimate factual or legal basis for the debtor not paying the debt. Id. If there is a single petitioning creditor, it has the burden of establishing that the alleged debtor has fewer than 12 qualifying creditors. Atlas Mach. & Iron Works, Inc. v. Bethlehem Steel Corp., 986 F.2d 709, 715 (4th Cir. 1993).

Similarly, the petitioning creditor has the burden of proving that the putative debtor is generally not paying its debts as they come due. In re R.N. Salem Corp., 29 B.R. 424, 428 (S.D. Ohio 1983); Paroline v. Doling, 116 B.R. 583, 585 (Bankr. S.D. Ohio 1990).

Finally, courts presume the petitioning creditor(s) filed an involuntary petition in good faith, so the alleged debtor has the burden of proving bad faith. In re John Richards Homes Bldg. Co., L.L.C., 439 F.3d 248, 254 (6th Cir. 2006).

IV. ARGUMENT

A. This case must be dismissed because venue is improper in this Court.

A bankruptcy case may be commenced in the district in which the debtor's "domicile, residence, principal place of business in the United States, or principal assets in the United States" has been located for the 180 days immediately preceding the petition date. 28 U.S.C. §

1408; Thompson v. Greenwood, 507 F.3d 416, 419 (6th Cir. 2007). Because the four grounds for venue are set forth in the alternative, venue is proper if the debtor meets any one of the tests. In re Acor, 510 B.R. 588, 591 (Bankr. W.D. Tenn. 2014).

In the case of an LLC, the state where it was organized is generally its domicile or residence. In re Crosby Nat'l Golf Club, LLC, 534 B.R. 888, 890 (Bankr. N.D. Tex. 2015). A debtor's principal place of business is the place where the debtor's high level officers direct, control and coordinate the business's activities, i.e., the "nerve center" of the company. Id., citing Hertz Corp. v. Friend, 559 U.S. 77, 80-81, 92-95 (2010).

Venue is not proper in this district against Echo MAV under any of the four Section 1408 tests. Echo MAV is organized under New Mexico law, which eliminates the domicile and residence tests. Sprinkle Decl., ¶ 3. Echo MAV's principal place of business is in Lubbock, in the Northern District of Texas. Its sole owner, all executives, and a majority of its employees work out of the Lubbock office. Id., at ¶ 6. Its payroll is processed from Lubbock and its banking relationship is in Lubbock. Id. It has a Lubbock phone number. Id. Echo MAV's nerve center clearly is in the Northern District of Texas, not in this district. And Echo MAV's principal assets are located in Lubbock as well, eliminating the fourth and final venue test under Section 1408. Id., at ¶ 6. This case was filed in this Court for only one reason – this district is where Horizon31 and its attorneys are located. But mere convenience for the petitioning creditor is not a proper basis for venue under 28 U.S.C. § 1408.

If a bankruptcy case is filed in the wrong venue, the bankruptcy court must either dismiss the case or transfer it to a proper venue. Thompson, 507 F.3d at 422. Here, dismissal, not transfer, is the proper remedy. As detailed below, this case is subject to dismissal for at least three additional, independent reasons: Horizon31 fails to meet the numerosity requirement; Echo MAV is paying its debts as they come due; and this is a bad faith, abusive filing by a single petitioning creditor. This case would be subject to dismissal for those reasons, even if it had been filed in a proper venue. The interests of justice compel the prompt dismissal of this case.

B. This case must be dismissed because Horizon31 has not satisfied the numerosity requirement of 11 U.S.C. § 303(b).

C. This case must be dismissed because Echo MAV is generally paying its debts as they come due.

D. This case must be dismissed because Horizon31 filed the petition in bad faith.

E. Horizon31 must be sanctioned under 11 U.S.C. § 303(i).

V. CONCLUSION

For the reasons set forth herein, this Court should decline to enter an order for relief, dismiss the involuntary petition filed by Horizon31, and after a hearing, grant Echo MAV its reasonable costs, attorney's fees, and compensatory and punitive damages resulting from this bad-faith filing.

RESPECTFULLY SUBMITTED:
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CERTIFICATE OF SERVICE

I certify that I served a true and correct copy of the foregoing upon the following, and all persons registered to receive electronic notice in this case, via the Court's CM/ECF system on the 3rd day of July, 2025:

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